Monetary Policy Basics

Course reader, Introductory Macroeconomics, unit 4

Department of Economics course reader (2026)

Unit 4.1 What a central bank controls

A central bank does not set the interest rate on your mortgage or your savings account directly. It sets a short-term policy rate, the rate at which banks lend reserves to one another overnight, and influences the rest of the economy through that one price.

When the policy rate rises, borrowing becomes more expensive throughout the system. Banks raise the rates they charge on loans, firms delay investment, households borrow less, and spending slows. When it falls, the opposite happens, with a delay that is often estimated at a year or more.

Unit 4.2 The trade-off between inflation and employment

Most central banks are asked to keep inflation low and stable, and many are also asked to support employment. In the short run these goals can pull in different directions: slowing spending to reduce inflation can also reduce hiring.

Because policy works with long and variable lags, central banks act on forecasts rather than on current data. A bank that waits until inflation is visibly high has usually waited too long; one that acts on a mistaken forecast may slow the economy for no reason.

Unit 4.3 Credibility and expectations

Expectations matter as much as the rate itself. If workers and firms believe inflation will stay near its target, they set wages and prices accordingly, and the target becomes easier to meet.

This is why central banks publish targets, explain their decisions and try to act predictably. Credibility, once lost, is expensive to rebuild: the bank may need higher rates for longer to convince people it is serious.

Review questions: Why does a central bank act on forecasts? What is the role of expectations in keeping inflation near its target?